and Y.V. Reddy. At some point during the discussion, Y.V. Reddy made the point that as the crisis abates, advanced economies would settle at a higher normal inflation as a consequence of the excesses of QE. He argued that if India's standard practice was to peg our inflation target a few percentage points above that of advanced economies, the Reserve Bank should consider raising its inflation target.

There was a brief discussion following this comment, with both Rangarajan and Jalan contesting Reddy's view. As I brought the discussion to a conclusion, in my capacity as the moderator, I said something to the effect that the Reserve Bank would certainly examine Reddy's argument, but made no comment on revising our strategy.

I was aware of the pitfalls of acknowledging a new normal for inflation, especially at a time when the Reserve Bank was involved in a two-year battle with inflation. I was also fully sensitive to the need to remain committed to the medium-term inflation goal of 4–5 per cent that the Reserve Bank had set for itself. But I thought Reddy's point deserved more than an outright dismissal. All I wanted to convey was that we had an open mind and would examine this argument with professional integrity.

I was dismayed by how my comment was completely misinterpreted by some analysts who said that RBI was admitting defeat in its fight against inflation. They said that by acknowledging a higher normal for inflation, the Reserve Bank was preparing the ground for monetary easing under pressure from the government for lower interest rates. I was amazed at how some analysts saw deep conspiracy in what was, by all accounts, an unrehearsed, free-flowing conversation at the panel discussion conducted in an academic setting.

Even though the debate was not picked up by the rest of the media and had indeed died down, I thought it advisable to unequivocally put across the Reserve Bank's position. At a speech to the Bankers' Club in Delhi shortly after this episode, I asserted that there was, in fact, no new normal for inflation.